

Sri Lanka-China Financial Relationship

Sri Lanka, Indian Ocean

SIGNAL

The SINOPEC Hambantota refinery deal confirms that major Chinese commercial commitments to Sri Lanka are resuming after the post-crisis freeze.

FRACTURE

India's acquisition of a controlling stake in Colombo Dockyard and the trilateral Trincomalee framework are systematically counterbalancing Chinese influence, turning Sri Lanka into an active contest zone.

Sri Lanka will sign a new bilateral infrastructure financing agreement with China within the next 18 months.

70%

PROBABILITY

Target: November 2027

Confidence: Medium

WHAT'S NEW

- The SINOPEC Hambantota refinery deal – confirmed for finalization in Q1 2026 – serves as a leading indicator that major Chinese commercial commitments are resuming despite India's parallel push into Sri Lankan maritime infrastructure.
- India's Mazagon Dock acquired 51% of Colombo Dockyard (April 2026), establishing a strategic Indian foothold adjacent to Chinese-controlled operations.
- Sri Lanka's Mattala Airport EoI (May 2026) creates an immediate flashpoint near China-controlled Hambantota port.
- Probability increased from 65% to 70%.

ANALYSIS**POLITICAL**

The political case for renewed China-Sri Lanka infrastructure engagement has strengthened since the May 2026 report. Three developments are particularly significant:

First, the **SINOPEC Hambantota refinery deal** – confirmed during Foreign Minister Wang Yi's January 2026 Colombo stopover for finalization in Q1 2026 – represents the first major

new Chinese commercial commitment in Sri Lanka since the 2022 default. Its progression signals that both governments are moving beyond the post-crisis cautious phase toward tangible new investment.

Second, India's **Mazagon Dock acquisition of 51% of Colombo Dockyard** (April 2026) marks a significant Indian countermove, establishing a strategic Indian foothold in the Port of Colombo directly adjacent to Chinese-controlled operations. This acquisition, combined with the India-Sri Lanka-UAE Trincomalee trilateral framework, demonstrates that India is systematically building a multi-vector presence to counterbalance Chinese influence.

Third, Sri Lanka's **Mattala Airport EoI** (May 2026, deadline June 9) creates an immediate flashpoint: India views the lease of an airport adjacent to China-controlled Hambantota port as a strategic opportunity, while China will resist Indian encroachment in what it considers its sphere of influence within the Hambantota port ecosystem. The Dissanayake government's decision to open this tender reflects its pragmatic balancing strategy – inviting Indian competition to extract better terms from both powers.

The political trajectory points toward continued Sri Lankan balancing between India and China, but with a structural tilt back toward Beijing driven by infrastructure financing needs and the absence of comparably scaled alternatives. The 5-point probability increase (65% → 70%) reflects the SINOPEC deal's confirmation as concrete evidence of normalization.

ECONOMIC

The economic landscape reveals both recovery and persistent fragility. Sri Lanka's debt restructuring is now largely complete: agreements with China Exim Bank (June 2024), China Development Bank (November 2024), international bondholders (98% participation, finalized December 2024), and the Paris Club (France agreement, June 2025) have collectively restored basic debt sustainability.

Updated bilateral debt figures (December 2025) confirm China remains Sri Lanka's largest bilateral creditor at **\$4.974 billion**, vastly exceeding India (\$0.984 billion). Cumulative Chinese infrastructure investment of **\$12.1 billion (2006-2019)** dwarfs India's \$4 billion in emergency crisis financing. India's \$450 million cyclone disaster relief, while generous, represents reactive crisis management rather than the proactive development financing that builds long-term economic dependence.

The critical economic question is whether Sri Lanka can sustain recovery without returning to large-scale Chinese borrowing. The IMF program imposes discipline but cannot fund the infrastructure investment Sri Lanka needs to transform its economy. The SINOPEC refinery – which would significantly enhance Hambantota port ecosystem revenues – represents exactly the type of commercially-oriented Chinese investment that could catalyze a broader return to Chinese-financed infrastructure development.

However, a notable counter-indicator emerged: India's Adani Group **withdrew from a wind power project** in northern Sri Lanka after the Dissanayake government sought to renegotiate terms. This signals that Sri Lanka's post-crisis approach to foreign

investment involves tougher renegotiation – a posture that could also complicate future Chinese deals.

MILITARY

The military-strategic dimension has intensified significantly. India's Colombo Dockyard acquisition gives India direct access to shipbuilding and repair facilities in the Port of Colombo, creating a military-logistical foothold that partially offsets China's Hambantota position. The Trincomalee trilateral (India-Sri Lanka-UAE) further anchors Indian strategic presence at the eastern port of Trincomalee, completing a triangular Indian maritime presence across Sri Lanka's three key ports: Colombo (west), Trincomalee (east), and potentially Mattala (south).

China's Hambantota position remains institutionally entrenched through the 99-year lease, but two developments add complexity. First, the planned SINOPEC refinery deepens China's commercial stake in the area, making any future Indian presence at nearby Mattala airport more strategically significant – and more likely to trigger Chinese pushback. Second, the Hambantota lease agreement's explicit prohibition on foreign military use creates a formal constraint, but China's ability to leverage dual-use commercial infrastructure for strategic purposes remains a concern for India and its partners.

The net military assessment is that Sri Lanka is becoming a more contested space, with India making strategic gains that partially offset Chinese advantages. This competition could actually accelerate Chinese investment as Beijing moves to consolidate its position – supporting the prediction – but also raises the risk of a zero-sum dynamic that complicates Sri Lanka's balanced approach.

TECHNOLOGICAL

The technological dimension of China-Sri Lanka relations remains centered on Hambantota port modernization and the Colombo Port City digital infrastructure vision. The SINOPEC refinery will likely incorporate advanced petrochemical processing technology, representing a technological upgrade to the Hambantota ecosystem.

The IMF geopolitics dimension – newly documented in the STAIR Journal analysis – introduces an important technological-adjacent consideration: **financial technology and institutional infrastructure**. China's challenge to IMF preferred creditor status (Chinese rescue lending exceeded 40% of IMF lending from 2018-2021) reflects a broader contest over the technological and institutional architecture of international finance. If China succeeds in creating parallel financial institutions or payment systems, this would reduce Sri Lanka's dependence on Western financial infrastructure and make Chinese financing more attractive.

However, the global technology decoupling trend continues to constrain Chinese digital infrastructure expansion in Sri Lanka. Sri Lanka's Western creditors and India will likely push back against Chinese telecommunications or data infrastructure that could give Beijing surveillance capabilities. The most probable technological cooperation remains in port logistics and industrial processing rather than sensitive digital domains.

WATCH INDICATORS

- SINOPEC Hambantota refinery finalization timeline and terms
- Mattala Airport tender outcome and bidder identities
- India-Sri Lanka bilateral infrastructure announcements
- Sri Lanka-China high-level diplomatic engagements
- IMF program review outcomes and borrowing space
- Hambantota Port commercial activity and throughput data

PROBABILITY TRIGGERS

THING	DIRECTION
Sri Lanka and China sign a new infrastructure MoU	Up
India announces a major new port or logistics investment in Sri Lanka	Down
Mattala Airport tender awarded to an Indian or Western firm	Down
SINOPEC refinery deal is finalized and construction begins	Up
IMF tightens borrowing limits on bilateral creditors	Down
China offers debt relief or concessional terms on new infrastructure	Up

KEY SOURCES

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2. Rediff.com: Sri Lanka Airport Lease Near Hambantota
3. STAIR Journal, Oxford: Is Geopolitics Ending the IMF's Role?
4. The Diplomat: Beyond Debt – China-Sri Lanka Economic Relations
5. CARI/Johns Hopkins SAIS: Evolution of Chinese Lending to Sri Lanka
6. Jamestown Foundation: China and Sri Lanka's Debt Crisis
7. Chatham House: Debunking Debt-Trap Diplomacy
8. Green Finance & Development Center: BRI Investment Report 2025

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